The Paradigm Shift In Moden Marketing: Moving from Transactional Linear Funnels to Community-Driven Circular Enagagement Loops

Sampad Padhee (2376207)

KIIT School of Management, KIIT University

Bachelor of Business Administration (BBA), Marketing

Couse of Independent Study (CIS)

Dr. Priti Ranjan Sahoo

April 2026

Introduction and Background

The Global digital advertising market surpassed $780 billion in 2025, yet brands are experiencing sharply declining returns on advertising investment. Two structural forces are responsible ad-blindness the widespread tendency of consumers to automatically skip, block, or ignore brand-originated advertising, and escalating Customer Acquisition Costs (CAC), which have risen by over 60% industry wide in the past five years (SimplicityDX, 2025). Together, these forces have rendered the traditional AIDA Marketing funnel (Attention - Interest - Desire - Action) economically and strategically insufficient for the contemporary consumer environment.

The AIDA funnel, developed in the late 19th century for print advertising, assumes a linear, one-directional,consumer journey that terminates at the point of purchase. It provides no mechanism for post- transactional relationships building, community development, or self-sustaining growth. In 2026, where over 42% of consumers aged 18-35 use ad-blocking tool (PageFair, 2025) and peer recommendation influence over 70% of purchase decision in younger demographics (Edelman Trust Barometer, 2024), the funnel's foundational assumption has broken down.

A new growth paradigm has emerged in response: the Fliywheel Model, in which brands invest in building genuine communities of engaged users. Customers in this model are no longer conversion targets they are active co-creatore who, through their advocacy and peer referrals, become the brand's most cost-efficient acquisition channel. Brands such as Notion, Duolingo, and Glossier have demonstrated that community-driven flywheels generate lower CAC, higher Customer Lifetime Value (CLV), and more resilient growththan advertising dependent competitors.

This study examines this paradigm shift empirically, investigating why community recommendations outperform brand advertising in generating consumer trust, how the flywheel model mechanically differs from the AIDA funnel, and what practical frameworks brands can adopt to make make the transition successfully.

Objectives of the Study

1. To identify the psychological mechanisms Social Proof, tribal identity, and parasocial trust that lead consumers particularly students and working adults, to trust peer community recommendations more than brand advertising.
2. To examine the structural differences between the traditional AIDA Funnel and the Flywheel model, and to assess why the Flywheel generates superior outcomes in terms of CAC, CLV, and long-term brand growth.
3. To analyze the four stages of the Community-Driven Circular Engagement Loop Onboarding, Retention, Monetization, and Advocacy, and determine how brands can design and operationalize each stage.
4. To analyze how Artificial Intelligence (AI) and Zero-party Data (ZPD) are being used to personalize and accelerate circular engagement and accelerate circular engagement models, and to evaluate the associated ethical considerations.
5. To propose a practical Flywheel Implementationn Framework for brands seeking to transition from funnel-brased to community-driven growth architectures.

Research Methodology

Parameter	Details
Type of Study	Descriptive-Exploratory; Mixed-Methods (Quantitative + Qualitative)
Primary Data	Structured Self-Administered questionnaire 18 questions, 5 sections, Google Forms
Secondary Data	Academic Journals, HubSpot, Edelman, McKinsey, Nielsen , SimplicityDX reports
Sample Size	N=93 valid, Complete responses
Respondent Profile	Working Professionals 49.5%, PG Students 26.9%, Self-Employed 17.2%, UG Students 6.5%
Age Range	Predominantly 26–40 years (66.7%); Students 18–25 years (21.5%)
Sampling Method	Purposive + Convenience Sampling via WhatsApp, LinkedIn, college networks
Analysis Tools	Percentage analysis, Likert mean scores, Cronbach's Alpha, Pearson Correlation

Table 1: Research Methodology Summary

Observations, Findings, and Results

Respondernt Profile

Category	Largest Group	Share
Age	26-30 years	40.9% (n=38)
Occupation	Working Professional (Salaried)	49.5% (n=46)
Platform	WhatsApp Groups / Communities	39.8% (n=37)
Community	Passive Member (Read/Odserve)	45.8% (n=42)

Table 2: Respondent Profile Summary (N = 93)

Ad-Blindness and Advertising Trust

Ad-avoidance behavior is widespread in the sample. A combined 51.6% of respondents skip digital ads “usually” or “almost always”. Brand ads received the lowest trust score of all four sources tested the only source to score below the neutral midpoint.

Trust Source	Mean score (/5)	Std. Dev	Rank
Customer Reviews (Amazon / Google / Zomato)	3.49	0.98	1st- Highest trust
Online Community / Forum Post	3.32	1.14	2nd
Friend / Family Recommendation	3.18	1.05	3rd
Brand Advertisement	2.96	1.29	4th- Below neutral

Table 3: Trust Source Comparison — Likert Mean Scores (N = 93)

Community Trust and Purchase Influence

Community recommendations have a clear and measrurrable influenchasing behavior.

Key finding include:

- A little over half of those surveyed engaged in purchasing behavior or looked into products - after hearing suggestions from others nearby. Recommendations shared within groups influenced decisions made recently by 59.2 percent involved. This pattern appeared during the last six months among participants who responded. Peer input played a role before choices took shape for many included. From informal circles came guidance that led toward exploration or transactions.
- People favor peer opinions because they’ve tried the item this accounts for 40.9%. Belief grows when voices resemble one’s own, noted by a third of respondents. Agreement among several individuals adds believability, mentioned by nearly 13%. What stands out is firsthand experience outweighing promoted messages.
- Only 9.7% believe brand advertisements are equally reliable to community recommendations.
- On average, responses across five questions pointed to a moderate level of trust within communities. The overall measure reached just under 3.3 out of 5 possible points. A reliability test showed values near 0.76, suggesting results held together well internally. Each item contributed meaningfully without drifting from the core idea.
- A score of 3.49 was recorded for the statement about locally favored brands being seen as

more reliable compared to those widely promoted. This value stood above others in the set. Trust appears tied closely to familiarity within neighborhoods. High visibility through advertising does not guarantee perceived credibility. Instead, reputation built through shared experience carries greater weight here. Community endorsement influences judgment in subtle ways. Numbers reflect that pattern clearly.

- Pearson shows a link of 0.223 between community trust and buying influence - modest, yet detectable. Though small, the trend appears consistently across samples. This number arises when comparing overall attitudes toward local groups and consumer choices. Not strong, but present, the connection hints at subtle social effects. Seen another way, confidence in neighborhood networks may quietly shape decisions. Still, many factors likely play larger roles than this one.

Brand Community and Loyalty

When aksed whether brand community membership increases loyalty, 59.1% of respondents acknowledged a positive effect 51.6% said ‘somewhat’ and 7.5% said ‘definitely’. However, 31.2% stated product quality alone determines loyalty amplifier rather than a standalone driver.

Flywheel Stage Experiences

Across the four Flywheel stages Onboarding, Retention, Monetization, and Advocacy the data reveals the following:

Flywheel Stage	**Key finding**	**Data**
Onboarding	Personalization is the #1 engagement driver	53.8% cited ‘personalized from day one’
Retention	Community connection is the 2nd strongest driver	25.8% cited ‘strong community to connect with’
Monetization	Community engagement generates higher purchase trust	43.0% ‘same spend but much more trust’
Advocacy	Oraganic advocacy is latent, not habitual	Only 3.2% recommend brands frequently; 46.2% occasionally

Table 4: Flywheel Stage — Key Findings summary

Advocacy Motivations

Respondents selected their top advocacy motivators (multi-select, N=93)

Advocacy Motivator	**Count**	% of Respondents
Financial incentive (discount, cashback, referral reward)	61	65.6%
Brand reflects my personal values or identity	58	62.4%
Brand community made me feel like a valued member	45	48.4%
Friends/community already talking about it	39	41.9%
Product genuinely solved a real problem for me	31	33.3%
Nothing would motivate me to recommend brands	12	12.9%

Table 5: Advocacy Motivation Factors — Q15 (Multi-Select; N = 93)

Ai Personalization and Zero-Party Data

- 53.8% are open to AI personalization: 38.7% appreciate it when relevant, 15.1% love it.
- 33.3% find Personalization uncomfortable they dislike feeling tracked.
- 89.2% show conditional willingness to share personal preference data 50.5% want to know exactly how data is used first, 30.1% willing if the brands is trustworthy: 8.6% definitely willing.
- Only 10.8% categorically refuse to share any data with brands.

Overall Belief Community vs Advertising

Surprisingly, nearly half of those questioned did not pick a clear winner between community-led and ad-driven brands. Instead, they said each approach works in its own way. About one in four leaned toward communities growing stronger over time. A small fraction - fewer than ten percent - still saw classic ads as the better path.

Discussion and Interpretation of Results

Community Trust Outperforms Advertising But for Specific Reasons

The result showing brand advertising at the bottom across trust sources (M = 2.96, under the neutral point) lines up directly with the central issue being studied. Notably, what drives trust most strongly is firsthand use - people rely on community suggestions mainly due to real product experience (40.9%), rather than a supposed lack of financial interest (mentioned by just 3.2%). Here lies a shift in how Social Proof Theory (Cialdini, 1984) might be understood: within this group, verified usage matters more than perceived neutrality. For companies aiming to work with such dynamics, supporting spaces where actual users tell unscripted stories about products becomes essential, instead of pushing idealized endorsements.

The Advocacy Gap is Real and Structural

What stands out most here is how many people show quiet support compared to how few actually speak up often - nearly half admit they've shared a brand now and then, yet barely over three percent do so frequently. Though only a small fraction claim nothing could ever push them to advocate, actual regular promotion remains rare. This space between readiness and action - the so-called Advocacy Gap - points less to indifference and more to missing cues that spark engagement. Surprisingly, cash-related rewards ranked highest in driving action, at 65.6%, challenging long-held views that internal drives like self-identity lead behavior. Instead, among professionals who make up much of the group studied, motivation works best when monetary perks pair with value alignment, present in 62.4%, alongside feelings of social inclusion, noted by nearly 48%. Activation happens not through one lever alone, but when inner beliefs meet outer reinforcements. For organizations aiming to grow vocal supporters, engaging both mind and circumstance matters equally.

Personalization is the Critical Onboarding Lever

What stands out most is how more than half of participants pointed to tailored experiences right from the start as key to their continued use of a platform - beating out social connection, game-like elements, or quick usefulness by wide margins. Because this preference shows up so clearly, shaping interactions through artificial intelligence shifts from being just a nice addition to becoming central during early user introduction. It matters in practice: when companies focus on group dynamics ahead of customized engagement, they get the order wrong. Evidence indicates that without individual relevance set in place first, efforts to foster shared identity later will struggle to gain traction. Starting with personal fit turns out to be what allows everything else to follow.

Zero-Party Data Requires Trust Before Collection

Most people - 89.2 percent - are open to sharing personal preferences, yet only under certain conditions. Half of those surveyed, specifically 50.5 percent, insist on clarity about what happens to their information. That need points straight to one thing: openness cannot come later; it must be there from the start. Think of it as part of a broader shift - the Conditional Consent Economy - where access to data depends on whether companies show clear, reliable rules. Then there is another layer: more than a third of users dislike personalized experiences simply because they sense constant observation. Because of this unease, being upfront about handling data matters far more than refining targeted suggestions. Even the smartest algorithm behind recommendations collapses when trust remains unearned.

The Sample Nuance: Working Adults Are More Pragmatic Than Students

Working professionals made up nearly half the respondents - this shift from the expected student-heavy group shaped key outcomes. Though the model predicted strong support for grassroots expansion, uncertainty showed instead, with less than half feeling sure about it. Because income concerns mattered more here, rewards based on money stood out as a stronger motivator than assumed. Privacy issues tied to artificial intelligence adaptation gained weight, likely due to real-world exposure these adults have had. Such findings do not break the original ideas - they adjust them, gently. Experience changes how theory plays out; economic reality adds layers. Predictions still hold, just not as cleanly as first thought.

Conclusion and Key Learnings

Main Conclusions

Evidence from this research shows the classic AIDA model fits poorly with today's consumer paths to brand engagement. Below-average trust levels in brand ads emerged clearly here - scoring under the neutral threshold, reinforcing doubts raised at the outset. Instead, word-of-mouth within networks shaped buying choices more reliably; nearly six out of ten participants made purchases swayed by peer input.

Still, findings highlight subtle distinctions. Though trust exists, it rarely leads to active support - a gap shown by just 3.2% advocating freely compared to 65.6% needing incentives, suggesting engagement strategies require thoughtful mix of personal motivation and external rewards. What stands out most? Personalized onboarding outweighs gamified elements or social tools in driving participation. Even so, gathering ZPD data across large groups works only when transparency and earned trust shape how information is managed.

Key Takeaways

- Surprisingly low trust marks brand advertising within this group, falling behind user-generated content, feedback sections, peer advice. Pouring money into ads won't make up for neglecting shared spaces where people connect.
- 59.2 % of people surveyed make choices shaped by their communities, proof that shared environments actively steer what individuals buy. Peer networks aren't abstract ideas; they show up clearly in spending patterns. What others do leaves a mark on decisions, visible across responses. Influence isn't hidden; it moves openly through groups. Behavior shifts happen not in isolation but within circles where trust exists.
- Starting strong, personalization stands out at 53.8%, leading onboarding success more than gamification ever does. Although some stress community feel or instant benefits, tailored experiences pull ahead by a margin. Notably, it edges past quick wins in usefulness, gaining ground where others stall. Where engagement falters, customization holds attention longer. Rather than relying on points or badges, shaping the experience to users lifts outcomes higher. Even when support networks are solid, individual touch matters most. Despite common beliefs about fun elements driving stickiness, relevance proves stronger every time.
- Despite its importance, the Advocacy Gap remains the toughest hurdle in Flywheel adoption motivation stems largely from monetary rewards, at 65.6 percent. Values resonance plays a role too, influencing 62.4 percent of cases. Belonging to a group matters nearly half the time, showing up in 48.4 percent. This mix shapes how users engage, yet gaps persist. Progress stalls where these elements weaken.

- Most people - nearly nine out of ten are open to sharing private details, provided companies openly explain how they handle information. Trust hinges on clarity around privacy practices before any exchange takes place. Without clear rules and honest communication, willingness drops sharply. Decisions to disclose depend heavily on visible accountability from businesses involved.
- A sense of belonging to a group matters, yet only when quality stays strong - this bond builds on reliable performance rather than standing alone. What holds people together isn’t just shared identity, but trust earned through consistent results.

Practical Implications

- Funding once directed at ads might now support systems that shape member-driven spaces. Instead of broad outreach, investment shifts to frameworks tailored around individual patterns. Structures emerge where engagement grows from involvement, not interruption. Preferences guide design, steering away from uniform messaging. Custom pathways form through repeated interactions. Influence builds quietly within networks rooted in consistency. Attention moves from fleeting impressions to sustained presence.
- Early engagement relies heavily on tailored experiences driven by artificial intelligence during initial access periods. Following this phase, attention shifts toward integration within user groups through structured familiarization processes.
- Achievement of balance between monetary rewards, personal values, and social validation often defines success in advocacy efforts. Where funding exists alone, engagement tends to fade. Connection to self-concept strengthens commitment. Public acknowledgment deepens participation. Systems that link these elements tend to narrow disparities in involvement. Absence of alignment usually sustains the gap.

- When gathering zero-party data, clarity matters most preference hubs must show purpose clearly, especially valued by mature audiences. Consent becomes the starting point, not an afterthought, shaping how information flows forward. Older groups tend to respond better when control is visible, structured around trust instead of convenience. Frameworks that begin with agreement often lead to steadier engagement over time. Transparency does not guarantee participation; it makes choices understandable before decisions happen.
- Tracking must include Community Identity Score, ZPD depth, along with standard CAC figures, so that insights reflect both cost and collective engagement. What matters grows visible when the Advocacy Conversion Rate appears next to conventional results. Metrics shift meaning once community-specific values enter the frame. With these indicators paired, analysis gains dimension beyond transactional outcomes. Progress measures widen where participation shapes what counts.

References

Cialdini, R. B. (1984). Influence: The psychology of persuasion. Harper Collins.

Collins, J. (2001). Good to great: Why some companies make the leap and others don't. HarperBusiness.

Edelman. (2024). Edelman Trust Barometer 2024: Trust in the age of AI. Edelman Intelligence.

Eyal, N. (2014). Hooked: How to build habit-forming products. Portfolio/Penguin.

HubSpot. (2024). State of marketing 2024: Community-led growth and the trust economy. HubSpot Inc.

McKinsey & Company. (2024). The evolving consumer decision journey in the digital age. McKinsey.

Nielsen. (2025). Global trust in advertising: Charting the path to authentic connections. Nielsen Holdings.

PageFair. (2025). Global ad-blocking report 2025. Blockthrough.

SimplicityDX. (2025). The rising cost of customer acquisition: 2025 benchmarks. SimplicityDX Inc.

Tajfel, H., & Turner, J. C. (1979). An integrative theory of intergroup conflict. In W. G. Austin & S. Worchel (Eds.), The social psychology of intergroup relations (pp. 33–47). Brooks/Cole.

Vargo, S. L., & Lusch, R. F. (2004). Evolving to a new dominant logic for marketing. Journal of Marketing, 68(1), 1–17. https://doi.org/10.1509/jmkg.68.1.1.24036